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Artificial intelligence as a merger and acquisition catalyst: A resource-based view☆

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ABSTRACT

Mergers and acquisitions (M&A) are pivotal strategic decisions that shape firm evolution. Drawing on the resource−based view, this study uses data from publicly listed firms in China from 2007 to 2024 to examine how artificial intelligence (AI) adoption influences M&A activity. We find that AI adoption significantly increases a firm's likelihood of pursuing M&A, with the effect especially pronounced among firms with abundant cash holdings and those operating in less−developed market environments. The relationship is also stronger for privately owned enterprises, and AI adoption is associated with improved long−term firm value. By linking technological capability with strategic outcomes, this study deepens our understanding of modern M&A drivers, highlighting the critical interplay between internal resources and institutional contexts.

1. Introduction

Mergers and acquisitions (M&A) remains a pivotal strategic instrument for firm renewal and resource reallocation (Beretta et al., 2025; David, 2021; Levine et al., 2020; Masulis et al., 2007). This significance is underscored by 2025 market trends, where global deal values surged 25% year-over-year to exceed $2 trillion (Mergermarket, 2025; PwC, 2025). Such momentum is particularly pronounced in China; domestic firms announced over $54 billion in deals during Q1 2025—a 52% annual increase.[2]

Furthermore, Artificial Intelligence (AI) is fundamentally reshaping the business landscape, profoundly influencing strategic decisions like M&A. While AI's benefits in product development (Cooper & McCausland, 2024) and innovation (Kopka & Fornahl, 2024) are well-established; these analytical strengths are increasingly pivotal in the high-stakes M&A arena. By identifying synergies (Wu & Shang, 2020) and accelerating complex due diligence (Roberts et al., 2022; Rose et al., 2020), AI acts as a general-purpose technology that redefines competitive advantage (Agrawal et al., 2022; Brynjolfsson & McAfee, 2014). Amid robust market growth (Statista, 2025); M&A is shifting from traditional risk mitigation (Wu et al., 2024) or CSR enhancement (Chen et al., 2023) toward leveraging AI-driven capabilities to secure long-term growth.

Prior studies identify diverse M&A determinants, ranging from leadership traits and rural experiences (Xiao et al., 2024; Zhao et al., 2025) to team stability and ESG alignment (Cai et al., 2025; Tang, Xu, et al., 2024b). Internal governance also plays a key role in resource acquisition and deal efficiency (Xing et al., 2025). Despite this breadth; extant research primarily views digitalization as an acquisition target—examining how firms secure technology through "digital M&A" (e.g.; Tang, Liang, & Fang, 2024a). In contrast; we explore AI adoption as a strategic driver; investigating how internal AI investment enhances a firm's absorptive capacity and motivates subsequent expansion. Given that AI is increasingly pivotal for operational efficiency in China (Liu, Zou, et al., 2025a), this shift from M&A as a means to AI as a motive offers a necessary extension to the literature. Consequently, moving

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